

Unequal Justice: Asymmetries in European and Spanish Legal Frameworks for Street and White-Collar Crime

RIMC11: Power relations and abuse of power

Ainhoa Zamora Martínez

Student number: 692678

Word Count: 2497

Supervisor: Dr. Abdessamad Bouabid

International Master in Advanced Research in Criminology (IMARC)

Academic year: 2025 – 2026

1. Introduction

European law is often celebrated for its stringent regulation of artificial intelligence, particularly in the newly adopted AI Act. This rapid expansion of AI in state functions has raised questions about who is watched, who is protected, and who benefits from the opacity of technological systems. Nowhere is this clearer than in the contrast between the EU's stringent regulations of law enforcement and its permissive approach to the algorithmic systems used by corporations or banks to detect financial and corporate crime. This AI Act is being globally celebrated for imposing the world's strongest constraints on biometric surveillance, predictive policing, and forensic analytics. Yet at the same time, the anti-money-laundering (AML) regime quietly delegates crime detection to private financial institutions whose algorithmic tools operate behind layers of trade secrecy, proprietary protection, and low regulatory scrutiny.

This paper argues that the divergent treatment of law-enforcement AI and financial sector AI is not accidental. It is the predictable consequence of a legal architecture that conceptualises "crime" differently depending on who commits it. Through this lens, algorithmic surveillance becomes a mechanism through which power relations are reproduced. Intensive, transparent, and coercive when directed downward to marginalised individuals; yet opaque, privatised and buffered when directed upward at corporate actors.

The main research question is: **To what extent do the European and Spanish directives construct divergent enforcement architectures for street crime vs white-collar crime, and what asymmetries result from this division?**

This paper is situated within the critical criminological tradition, which challenges the assumption that legal systems respond neutrally to crime and instead emphasises how definitions of crime, enforcement priorities, and regulatory architectures are shaped. The theoretical lens draws on Mills' concept of the power elite, Friedrichs' analysis of trusted criminals, and Cohen's work on states of denial to examine how algorithmic enforcement regimes reproduce existing hierarchies of social control. These frameworks are selected due to their significant extent in critical criminology and a relatable focus with emerging domain of algorithmic governance, and how different social groups are subjected to state and corporate power.

The structure of this paper proceeds as follows: Section 2 outlines the methodology; Section 3 presents the legal-doctrinal analysis; and Section 4 concludes with implications for research and policy.

2. Methodology

The paper adopts a legal-doctrinal and critical discourse analysis. It compares the legal regimes governing AI-assisted surveillance in criminal law enforcement and financial crime prevention at EU and Spanish levels. The analysis draws on statutory provisions, case law and critical criminology scholarship on power, surveillance, and elite crime.

This paper will make a clear division between *downward surveillance* (directed at marginalised or street-level offenders, normally conducted by the state using tools subject to public oversight and high transparency requirements). Conversely, we will have *upward surveillance* (directed at organisational, corporate and/or elite offenders, often outsourced to private actors who operate algorithmic systems). This institutional division creates what I have termed *computational authority*, because of the selective deployment of AI-enabled scrutiny based on the social position of the regulated subject. In other words, public law governs surveillance aimed at the poor, while private law governs surveillance aimed at the powerful.

A limitation of this methodology is that it cannot measure the empirical effect of regulatory asymmetries—whether corporate actors are prosecuted less frequently than street-level offenders. The paper instead analyses the legal architecture that enables or constrains such outcomes. Additionally, the focus on EU and Spanish law limits generalisability to other jurisdictions, though it provides depth in examining one Member State’s implementation of supranational frameworks.

Further, the paper adapts an OSCOLA referencing style rather than APA due to the centrality of legal sources in the analysis. It is more appropriate for legal scholarships and provides clearer and more precise citation of legislation and case law.

3. Legal-Doctrinal Analysis

The relationship between surveillance, technology, and social power has generated substantial debate. Within these discourses, it has been argued that states have less recourse to coercion and repressive measures, lacking coherence in terms of ideological referents.

Creating, therefore the argument that states and powerful corporations are themselves just as likely to be subject to surveillance and regulation as the “powerless”.¹

3.1. Downward Surveillance: Street Crime and Procedural Constraints

The EU AI Act (Regulation 2024/1689)² established a risk-based classification system in which AI systems used for law enforcement purposes attract the highest regulatory burden. Annex III Section 6 designates as “high-risk” all AI systems used for profiling of natural persons in the context of crime prevention, detection, investigation or prosecution. Such systems are subject to mandatory conformity assessments, fundamental right impact assessments, registration in public databases, and ongoing human oversight requirements. The regulatory logic is explicit: algorithmic systems that target individuals for criminal justice intervention pose acute risks to fundamental rights and require stringent controls.

This framework produced what might be called *data-driven criminalisation*. The AI systems target individuals and specific geographic areas for intervention. Their outputs—even when flawed by data bias or algorithmic error—led directly to actions that infringe fundamental rights: stops and searches,³ arrests,⁴ pre-trial detention.⁵ The regulatory apparatus acknowledges this by imposing transparency and oversight requirements assessed to the severity of potential rights injustices.

At the Spanish level, the transposition of the LED through *Ley Orgánica 7/2021*⁶ reinforces these constraints. It established that the law’s purpose is to protect natural persons with regard to the processing of natural persons’ data by competent authorities for detection, investigation, and prosecution of criminal offences.⁷ Further, it also imposes a near-

¹ Roy Coleman, Joe Sim and David Whyte, *State, Power and Crime* (SAGE Publications Ltd 2010).

² REGULATION (EU) 2024/1689 of 13 June 2024 Laying down Harmonised Rules on Artificial Intelligence (Artificial Intelligence Act).

³ Akbir Khan, ‘Latent Racial Bias -- Evaluating Racism in Police Stop-and-Searches’ (arXiv, 8 May 2020) <<http://arxiv.org/abs/2005.13463>> accessed 13 December 2025.

⁴ Roland Neil and Michael Zanger-Tishler, ‘Algorithmic Bias in Criminal Risk Assessment: The Consequences of Racial Differences in Arrest as a Measure of Crime’ (2025) 8 Annual Review of Criminology 97 <<https://www.annualreviews.org/content/journals/10.1146/annurev-criminol-022422-125019>> accessed 13 December 2025.

⁵ Christopher Thomas and Antonio Ponton-Nunez, ‘Automating Judicial Discretion: How Algorithmic Risk Assessments in Pretrial Adjudications Violate Equal Protection Rights on the Basis of Race’ (2022) 40 Minnesota Journal of Law & Inequality 371 <<https://heinonline.org/HOL/P?h=hein.journals/lieq40&i=384>> accessed 13 December 2025.

⁶ BOE, Ley Orgánica 7/2021, de 26 de mayo, de protección de datos personales tratados para fines de prevención, detección, investigación y enjuiciamiento de infracciones penales y de ejecución de sanciones penales.

⁷ Art 1. Ley Orgánica 7/2021.

prohibition of automated individual decisions, based solely on automated processing, including profiling, that produce adverse legal effects or significantly affect the individual are prohibited unless authorised by Union or Spanish law. The default position is human oversight, and algorithmic autonomy requires explicit authorisation.⁸

In line with this law, the *Ley de Enjuiciamiento Criminal (LECrim)*,⁹ as amended by LO (13/2015). It provides that the competent judge may authorise technical devices to monitor and locate only when the investigation requires it and only in full subjections to the “principles of specialty, suitability, exceptionality, necessity and proportionality”.

European jurisprudence reinforces these standards. In *Big Brother Watch v UK (2021)*¹⁰, the ECHR held that bulk surveillance regimes require robust independent oversight, a necessity test, and effective safeguards against abuse. Moreover, in *Gaughran v UK (2020)*¹¹ the Court found that indefinite retention of biometric data violated Art.7 ECHR, requiring temporal limits on periodic review. The EDPB Guidelines on 05/2022 on facial recognition further elaborate on the strict proportionality review applicable to state biometric systems. The doctrinal picture is consistent; downward surveillance attracts intensive procedural controls, transparency obligations, and judicial oversight.

3.2. Upward Surveillance: Privatisation of Control

The legal architecture governing surveillance of white-collar crime operates on fundamentally different premises. The AML Regulation exemplifies the privatised, risk-based model.¹² Obligated entities—primarily financial institutions—must conduct ongoing monitoring of business relationships, including scrutiny of transactions. Crucially, this surveillance is conducted *by* the private institutions, *on* their own customers, using algorithmic tools of their own design.

The regulatory consequences of this architecture are significant. First, the surveillance function is delegated to private actors with commercial interests potentially adverse to aggressive detection. Second, the sanctions for compliance failures attach primarily to the institution, not to individuals. Spanish anti-money-laundering legislation illustrates this:

⁸ Art 26. Ley Orgánica 7/2021.

⁹ Art. 588 Bis. a. LECrim LO 13/2015

¹⁰ *Big Brother Watch and Others v the United Kingdom* [2021] ECtHR [GC] 58170/13, 62322/14, 24960/15.

¹¹ *Gaughran v the United Kingdom* [2020] ECtHR 45245/15.

¹² Regulation (EU) 2024/1624 of the European Parliament and of the Council of 31 May 2024 on the prevention of the use of the financial system for the purposes of money laundering or terrorist financing [2024] OJ L 2024/1624, art 26.

"very serious offences" are defined as institutional failures—failure to apply due diligence measures or failure to establish internal control procedures—sanctioned by administrative fines against the entity.¹³

The Spanish Criminal Code does specify individual liability specifically in money laundering cases. Arguing that the acquisition, possession, use, conversion or transmission of goods known to originate from criminal activity is criminalised.¹⁴ Criminal liability for legal entities is also established, with sanctions including fines, dissolution, or prohibition on future activities.¹⁵ However, corporate fines are calibrated to the natural person's potential sentence, 2 to 5 years' fine if the individual offence carries more than five years' imprisonment.¹⁶ This demonstrates the structure channels liability toward institutional fines rather than individual incarceration. Elite actors who commit financial crimes, use corporate vehicles, are within a regime that buffers them from enforcement exposure, thereby individuals from direct criminal sanction and preserving their reputations from public scrutiny.

The case law contrast is instructive. While *Big Brother Watch and Gaughran* impose strict proportionality requirements on state surveillance of individuals, the leading case of *Berlioz* (C-682/15), the CJEU addressed a corporate entity's challenge to a €250,000 penalty for refusing to disclose financial information pursuant to cross-border tax information exchange.¹⁷ Although the Court recognised a limited right to judicial review under Art.17 of the Charter, the issue was framed not as if financial surveillance infringed fundamental rights, but as if a corporate entity could resist and an information demand backed by a substantial administrative penalty. The applicable standard—whether the request was “manifestly devoid of foreseeable relevance”—treats disclosure as the default and places the burden on the addressee to justify non-compliance, without requiring the state to demonstrate proportionality or necessity.

3.3. Critical Perspectives on Power and Selectivity

Critical criminology has long challenged the assumption that legal systems respond neutrally to crime, instead emphasising how definitions of crime, enforcement priorities, and

¹³ Ley 10/2010, de 28 de abril, de prevención del blanqueo de capitales y de la financiación del terrorismo, art 52.1(a) and (b)

¹⁴ Ley Orgánica 10/1995, de 23 de noviembre, del Código Penal, art 301.1

¹⁵ *ibid* art. 302.

¹⁶ *ibid* art. 302.2(a)(b)

¹⁷ Case C-682/15 *Berlioz Investment Fund SA v Directeur de l'administration des Contributions directes* EU:C:2017:373.

regulatory architectures are socially constructed. Central to this tradition is the insight that criminal law does not merely punish harmful behaviour but selectively governs populations in ways that reproduce social and economic hierarchies.¹⁸ This challenges a positivist stance, in which legal definitions of crime and the “just” penal reactions are uncritically adopted, suggesting that systemic inequalities must be addressed through a reflexive socio-legal framework.¹⁹

First, Mills’ concept of the *power elite* is particularly instructive in this regard. Mills (1956) argues that political, economic, and legal power is concentrated among interconnected elites who shaped institutional decision-making in ways that protect their collective interests.²⁰ In the context of algorithmic enforcement, this helps explain why surveillance regimes directed at corporate and financial actors are structured around opacity, delegation and liability, rather than direct coercive intervention. To contextualise, the AML does not need to explicitly exempt elites from scrutiny; instead, it embeds enforcement within organisational structures that diffuse responsibility and minimise individual exposure to state power.

Furthermore, this aligns with Friedrichs’ analysis of “trusted criminals”, which highlights how white-collar offenders benefit from assumptions of respectability, expertise that fundamentally alter enforcement responses. Unlike street-level offenders, corporate actors are governed through compliance mechanisms rather than suspicion-based policing.²¹ This mirrors that AI monitoring in the elite sector operates less as a tool of criminalisation than as a managerial tool, reinforcing the idea that elite harms constitute regulatory failures than criminal harm. This is directly linked with what Barak (2015) argues regarding how harm caused by powerful actors is systemically under-criminalised while normalised and being invisible through legal and institutional design. From this perspective, crime detection in private algorithmic systems can be understood as a contemporary form of what critical criminologists have long identified: the transformation of serious social harm into technical, administrative or compliance issues. Algorithmic opacity does not merely obscure decision-making; but it actively contributes to what Cohen described as *states of denial*, enabling institutions to claim oversight while avoiding meaningful accountability²².

¹⁸ Eugene McLaughlin and Tim Newburn, *The SAGE Handbook of Criminological Theory* (SAGE Publications 2010).

¹⁹ René Van Swaaningen, ‘Reclaiming Critical Criminology: Social Justice and the European Tradition’ (1998) 3 *Theoretical Criminology* 5.

²⁰ C Mills Wright, *The Power Elite* (Oxford University Press, USA 1956).

²¹ David O Friedrichs, *Trusted Criminals White-Collar Crime in Contemporary Society (4th Ed.)*. (4th edn, Belmont).

²² Stanley Cohen, *States of Denial: Knowing about Atrocities and Suffering* (Blackwell Publishers 2001).

4. Conclusion

This paper has demonstrated that these regimes are not governed by a unified logic of risk or rights protection but instead reflect differentiated legal responses that align with the social position of the regulated subjects. In the context of street crime, AI systems are framed as acute threats to fundamental rights and are therefore subjected to intensive procedural constraints, including transparency obligations, judicial authorisation, and strict proportionality requirements. By contrast, the surveillance of corporate actors is embedded within a privatised compliance architecture characterised by algorithmic opacity, delegated enforcement, and institutional rather than individual accountability.

Through this discursive approach, the paper has shown that these asymmetries are produced and legitimised by law itself. Drawing on critical criminological perspectives, the analysis situates algorithmic enforcement within broader patterns of criminal selectivity, in which coercive state power is concentrated downward while discretion and separation from scrutiny are concentrated upward.

Rather than empirically demonstrating who ultimately benefits from these arrangements, the paper highlights how legal frameworks create the structural conditions under which elite actors are shielded from direct exposure to surveillance, criminalisation, and public accountability. However, this analysis operates with constraints. First, the legal-doctrinal method cannot measure whether these asymmetries translate to actual enforcement disparities. Also, the “downward surveillance” category mixes marginalised populations, obscuring how enforcement disparities vary by race, immigration status, social positions...And perhaps, surveillance operates in a multidirectional way, not solely in a binary format. However, it is important to reflect how AI governance not merely as a technical or regulatory challenge, but as a demonstration of how legal architectures can legitimise and reproduce power asymmetries. As AI continues to reshape criminal justice and regulatory enforcement, future research should further examine how emerging technologies risk entrenching longstanding inequalities between the governance of marginalised populations and the governance of the powerful.

5. List of references

- Barak, G. (red.) (2015). *The Routledge International Handbook of the Crimes of the Powerful*. Abingdon: Routledge.
- Big Brother Watch and Others v the United Kingdom* [2021] ECtHR [GC] 58170/13, 62322/14, 24960/15
- Cohen S, *States of Denial: Knowing about Atrocities and Suffering* (Blackwell Publishers 2001)
- Coleman R, Sim J and Whyte D, *State, Power and Crime* (SAGE Publications Ltd 2010)
- Crawford A, 'Networked Governance and the Post-Regulatory State? Steering, Rowing and Anchoring the Provision of Policing And Security' (2006) 10 Theoretical Criminology - THEOR CRIMINOL 449
- Friedrichs DO, *Trusted Criminals White-Collar Crime in Contemporary Society (4th Ed.)*. (4th edn, Belmont)
<<https://www.scirp.org/reference/referencespapers?referenceid=2931045>> accessed 14 December 2025
- Gaughran v the United Kingdom* [2020] ECtHR 45245/15
- Khan A, 'Latent Racial Bias -- Evaluating Racism in Police Stop-and-Searches' (arXiv, 8 May 2020) <<http://arxiv.org/abs/2005.13463>> accessed 13 December 2025
- McLaughlin E and Newburn T, *The SAGE Handbook of Criminological Theory* (SAGE Publications 2010)
- Mills CW, *The Power Elite* (Oxford University Press, USA 1956)
- Neil R and Zanger-Tishler M, 'Algorithmic Bias in Criminal Risk Assessment: The Consequences of Racial Differences in Arrest as a Measure of Crime' (2025) 8 Annual Review of Criminology 97
<<https://www.annualreviews.org/content/journals/10.1146/annurev-criminol-022422-125019>> accessed 13 December 2025
- Thomas C and Ponton-Nunez A, 'Automating Judicial Discretion: How Algorithmic Risk Assessments in Pretrial Adjudications Violate Equal Protection Rights on the Basis of Race' (2022) 40 Minnesota Journal of Law & Inequality 371
<<https://heinonline.org/HOL/P?h=hein.journals/lieq40&i=384>> accessed 13 December 2025

Van Swaaningen R, 'Reclaiming Critical Criminology: Social Justice and the European Tradition' (1998) 3 *Theoretical Criminology* 5

Legislation

Ley Orgánica 13/2015, de 5 de octubre, de modificación de la Ley de Enjuiciamiento Criminal para el fortalecimiento de las garantías procesales y la regulación de las medidas de investigación tecnológica.

Regulation (EU) 2024/1624 of the European Parliament and of the Council of 31 May 2024 on the prevention of the use of the financial system for the purposes of money laundering or terrorist financing [2024] OJ L 2024/1624.

Ley Orgánica 10/1995, de 23 de noviembre, del Código Penal.

Ley 10/2010, de 28 de abril, de prevención del blanqueo de capitales y de la financiación del terrorismo.

BOE, Ley Orgánica 7/2021, de 26 de mayo, de protección de datos personales tratados para fines de prevención, detección, investigación y enjuiciamiento de infracciones penales y de ejecución de sanciones penales.

REGULATION (EU) 2024/1689 of 13 June 2024 Laying down Harmonised Rules on Artificial Intelligence (Artificial Intelligence Act).